NISM SERIES XIX-C · SEPTEMBER 2026 WORKBOOK · STUDY NOTES

Alternative Investment Fund Managers

Learn how private pools of money are built, run, valued, taxed and wound up, from the fund manager's chair.

An Alternative Investment Fund (AIF) is like a private investment club for rich individuals and institutions: members pool at least ₹1 crore each, and a professional manager invests it in things you can't buy on a normal trading app, like start-ups, private companies, stressed loans or hedge-fund style trades. Because members can lose a lot and can't easily get their money out, SEBI wants the people running these clubs to properly understand fund structures, fees, valuation, tax and the rulebook. This exam proves that the manager's key investment person knows the job. Think of it as the pilot's licence for the people flying a private jet full of other people's money.

📋 Exam pattern

150	180 min	60%	25% of the marks assigned to the question
Total marks	Duration	Pass mark	Negative marking

90 MCQ + 6 caselets (30 questions) · Pass mark is 90 out of 150. Test centre computers have Microsoft Excel or LibreOffice for numericals, so practise XIRR/IRR, SKEW and KURT. Use the September 2026 workbook for exams on or after November 20, 2026. Chapter-wise marks: Ch 1–3 = 2, Ch 4–5 = 3, Ch 6 = 5, Ch 7 = 5, Ch 8 = 10, Ch 9 = 20, Ch 10 = 5, Ch 11 = 20, Ch 12 = 10, Ch 13 = 10, Ch 14 = 10, Ch 15 = 10, Ch 16 = 20, Ch 17 = 20.

👥 Who needs it

- At least one key personnel in the key investment team of the Manager of every Category I, II or III AIF (XIX-C covers all categories; XIX-D covers only Category I/II and XIX-E covers only Category III)
- On expiry of the certificate, that person must get certified again to keep the Manager compliant
- Not mandatory for Accredited-Investors-only (AI-only) Funds, and Inoperative Funds are exempt from the date they get that status
- Useful for investment committee members, fund CFOs, compliance officers, placement agents and analysts at PE/VC funds, private credit funds and hedge funds

🧭 Exam strategy

- Split the 180 minutes roughly as 75 minutes for the 90 MCQs and 90 minutes for the 6 caselets (30 questions × 2 marks = 60 marks), leaving 15 minutes for review.
- Do the caselets with a fresh mind. Each caselet question is worth 2 marks and a wrong one costs 0.5, so careful, Excel-checked computation pays off.
- Use Excel or LibreOffice at the centre for IRR/XIRR, compounding hurdles ((1+h)^n), SKEW/KURT and standard deviation instead of hand-calculating.
- With 25% negative marking, guess only when you can eliminate at least two options. A blind guess has negative expected value at 1 in 4.
- Chapters 9, 11, 16 and 17 carry 80 of 150 marks. Master them first; Chapters 1–5 together are worth only 5 marks.
- For any 'approval %' question, ask yourself: is it a change in strategy or tenure (⅔) or a drastic action like winding up, in-specie, associates or dissolution (75%)?
- Read 'whichever is lower/higher' and 'by value of investment' carefully. Examiners build distractors by flipping these words.
- In fee caselets, write the sequence down: GAV → less set-up, expenses, mgmt fee with GST → NAV pre-incentive → compare with the higher of HWM and hurdle → incentive.
- Flag long tax questions and return to them. First identify the category (Cat I/II pass-through vs Cat III trust) before thinking about rates.



Chapter 1 · Weight: 2 marks (shared with Ch 2 and 3)

Investments Landscape

This chapter covers the basics: saving versus investing, investing versus speculating, investment goals, and how an investor builds up a required rate of return from the time value of money, inflation and a risk premium.

> **MAKE IT STICK**
> Your grandmother lends ₹1,000 and wants ₹1,020 back. That extra ₹20 is the pure rate of interest. If prices are rising 6%, she should really ask for (1.02 × 1.06) – 1 = 8.12%. If the borrower is shaky, she adds a risk premium on top.

1. Saving = income minus spending; investment = committing savings now to get a larger amount in future
2. Required rate of return = real risk-free rate + inflation adjustment + risk premium
3. Real risk-free rate = pure time value of money (payment for postponing consumption); adding expected inflation gives the nominal risk-free rate
4. NRR = (1 + real rate) × (1 + expected inflation) – 1; e.g. 2% real and 6% inflation gives 8.12%
5. Required return is the minimum return an investor expects. It is not a guaranteed, expected or realised return
6. Risk premium = extra return demanded over the nominal risk-free rate because future cash flows are uncertain

7 Risk is 'known uncertainty': spread around the expected return. Pure uncertainty is when even the causes are unknown

8 Types of risk: business, financial, liquidity, exchange-rate and political (country) risk

9 Investment objectives: capital preservation, capital appreciation, regular income, tax saving

10 Primary market creates (originates) securities and raises capital; secondary market gives liquidity, price discovery and information

Nominal RRR	2% real, 6% inflation	Components of required return
(1+real)(1+inflation) – 1	**8.12% nominal**	**Real RF + inflation + risk premium**

🎯 EXAM TIP

Expect a one-liner on what the 'risk premium' is, what affects future value (both time period and rate), and primary versus secondary market functions.

⚠️ TRAP

Don't simply add real rate and inflation when the question asks for the exact nominal rate. Use the multiplicative (Fisher) formula: 2% + 6% = 8%, but the exact answer is 8.12%.



Chapter 2 · Weight: 2 marks (shared with Ch 1 and 3)

Types of Investments

Traditional investments (listed shares, bonds, mutual funds, ETFs) are mostly liquid and traded on markets. Alternative investments (private equity, private debt, real estate, commodities, hedge funds, distressed assets) are mainly defined by illiquidity and complexity.

MAKE IT STICK

A traditional investment is a pizza from the counter: hot, ready, and you can walk out with it. An alternative is a slow-cooked biryani you ordered in advance. It may taste better (higher return), but you can't take it home until it is ready (illiquidity).

1 Alternative investment = a financial asset that does not fall into the conventional categories (stocks, bonds, cash)

2 The defining feature of traditional investments is liquidity; the defining feature of alternatives is illiquidity

3 'Dual' class: liquid instruments on illiquid assets, e.g. REIT/InvIT units, closed-ended debt funds with real-estate exposure

4 Financial assets come in two broad generic types, debt and equity, and can also be classified as security vs non-security form

5 Equity shares give a share in profits plus voting rights; shareholders are residual owners

6 The Central Government issues both Treasury Bills and dated securities

7 Channels for investing: Mutual Funds, PMS (minimum ₹50 lakh), AIFs (privately pooled) and Specialized Investment Funds (SIF, minimum ₹10 lakh)

8 Alternatives are meant for sophisticated investors (institutions, HNIs) to improve risk-adjusted returns and diversification

9 Discretionary PMS: the manager decides. Non-discretionary PMS: the manager follows the client's directions

10 Examples of alternatives: commercial real estate, private equity, venture debt, distressed or special-situation funds, OTC derivatives, CDOs

SIF minimum investment	PMS minimum	Key feature of alternatives
₹10 lakh (across all strategies of the AMC)	**₹50 lakh**	**Illiquidity**

🎯 EXAM TIP
Classic question: which of these is an alternative investment (answer: commercial real estate, not G-secs or exchange-traded futures).

⚠️ TRAP
Exchange-traded futures and AAA listed bonds are traditional, on-market instruments, not alternatives.



Chapter 3 · Weight: 2 marks (shared with Ch 1 and 2)

Concept of Informational Efficiency

This chapter covers the Efficient Market Hypothesis (weak, semi-strong and strong forms), random walk, market anomalies, and what efficiency means for active versus passive investing.

MAKE IT STICK
If gossip in a small town spreads instantly and accurately, nobody can profit from 'news', because everyone already knows it. That is an efficient market. When prices still dip every March because of tax selling, that is an anomaly a smart investor can exploit.

1 Informational efficiency means prices fully and quickly reflect information. Operational (internal) efficiency is about low transaction costs

2 Weak form: prices reflect all past market data (prices, returns, volume), so technical analysis can't consistently beat the market

3 Semi-strong form: prices reflect all public information too (earnings, dividends, P/E, P/B); it includes the weak form

4 Strong form: prices reflect even private (insider) information; it includes both other forms

5 In an efficient market, successive price changes are independent and unbiased (random walk)

6 An efficient market needs many profit-maximising investors and information that arrives randomly and independently

7 January anomaly: taking advantage of end-of-year tax-loss selling pressure

8 Size anomaly: small firms outperform, which explains the popularity of small-cap portfolios. Low P/E or value anomaly: the basis of value investing

9 Efficient markets plus a lack of superior analysts led to the rise of index funds

Weak form	Semi-strong	Strong
Past prices & volume	+ All public info	+ Private/insider info

🎯 EXAM TIP
Match each information set to its EMH form, and remember that 'biased price adjustments' are inconsistent with efficiency.

⚠️ TRAP
The semi-strong form includes the weak form. It is not a separate, non-overlapping set.

Chapter 4 · Weight: 3 marks (shared with Ch 5)

Introduction to Modern Portfolio Theory

This chapter covers Markowitz portfolio theory: expected return, variance, covariance and correlation, the efficient frontier, and how adding assets with low or negative correlation reduces portfolio risk.

MAKE IT STICK
An umbrella seller and an ice-cream seller who share one shop earn steadily all year. Their incomes are negatively correlated, so the combined business is far less risky than either one alone.

1. Risk-averse investors demand higher return for higher risk; risk-seekers accept more risk for less return; risk-neutral investors ignore risk
2. Expected return of a security = Σ (probability × return); portfolio expected return = weighted average of the securities' returns
3. Portfolio variance (2 assets) = $w_1^2\sigma_1^2 + w_2^2\sigma_2^2 + 2w_1w_2\rho_{12}\sigma_1\sigma_2$
4. Lower correlation means lower portfolio risk; a correlation of −1 lets you build a riskless combination
5. For maximum diversification, add the security with the most negative correlation to the portfolio (e.g. −0.85)
6. Efficient portfolio: no other portfolio gives higher return for the same risk, or lower risk for the same return
7. Efficient frontier = the envelope curve of the best risk-return combinations
8. Estimation issues: the inputs (returns, variances, covariances) are estimates, so errors feed into optimisation

Two-asset variance	Best diversifier
$w_1^2\sigma_1^2 + w_2^2\sigma_2^2 + 2w_1w_2\rho\sigma_1\sigma_2$	Most negative correlation

🎯 EXAM TIP
Expect a direction-of-change question (correlation falls, so portfolio risk falls) and a pick-the-best-diversifier question.

⚠️ TRAP
Portfolio return is a weighted average, but portfolio risk is NOT a weighted average of standard deviations unless ρ = +1.

Chapter 5 · Weight: 3 marks (shared with Ch 4)

Introduction to Capital Market Theory

Adding a risk-free asset turns the efficient frontier into the Capital Market Line. The market portfolio holds only systematic risk, which CAPM and the Security Market Line price through beta.

MAKE IT STICK

Think of total risk as the weather in your city. Diversification can shelter you from local showers (unsystematic risk), but nobody can diversify away the monsoon (systematic risk). The market only pays you for bearing the monsoon.

1. CML: the line from the risk-free asset tangent to the efficient frontier at the market portfolio M
2. All portfolios on the CML are perfectly positively correlated with each other (and with M)
3. The market portfolio includes all risky assets: stocks, bonds, foreign securities, options, gold, etc.
4. Correlation between the risk-free asset and the market portfolio is zero
5. A completely diversified portfolio has only systematic risk and a correlation of +1 with the market
6. CAPM: $E(R) = Rf + \beta \times (Rm - Rf)$. The SML is CAPM drawn graphically (return against beta)
7. Portfolio beta = weighted average of the individual betas
8. Multi-factor models (APT, Fama-French) add more risk factors beyond market beta

CAPM	Workbook example	Corr(Rf, Market)
$Rf + \beta(Rm - Rf)$	$15\% \times 1.2 + 85\% \times 1.5 = \beta\,1.455$; $6\% + 1.455 \times 10\% = 20.55\%$	0

🎯 EXAM TIP

There is almost always a CAPM numerical with a two-stock portfolio beta. Compute the weighted beta first, then CAPM.

⚠️ TRAP

If the question gives the market risk PREMIUM (Rm – Rf), don't subtract Rf again.

Chapter 6 · Weight: 5 marks

Alternative Investment Funds in India and its Suitability

This chapter traces how AIFs evolved in India (VC guidelines 1988 → SEBI VCF Regulations 1996 → SEBI AIF Regulations 2012), defines each type of AIF and the three categories, and compares Category III AIFs with PMS, mutual funds and SIFs.

MAKE IT STICK

Picture a three-storey building. The ground floor (Category I) gets government incentives because it houses start-ups, SMEs, infrastructure and social ventures. The first floor (Category II) houses PE and private debt with no special perks. The top floor (Category III) is the trading floor where hedge funds use leverage and derivatives.

1. AIF = privately pooled investment vehicle (Indian or foreign money) with a defined investment policy. Mutual funds, CIS, family trusts, ESOP trusts, holding companies, securitisation SPVs and RBI-regulated funds are excluded
2. Category I: VC Funds (incl. Angel Funds), SME Funds, Social Impact Funds, Infrastructure Funds, Special Situation Funds and CDMDF, i.e. socially or economically desirable sectors
3. Category II: anything not Cat I or III, with no leverage except as permitted, e.g. PE funds, debt funds, pre-IPO funds
4. Category III: diverse or complex trading strategies and may use leverage (incl. listed or unlisted derivatives), e.g. hedge funds
5. Concentration: Cat I and II max 25% of investable funds in one investee company; Cat III max 10%
6. Angel Fund: invest ₹10 lakh to ₹25 crore per investee company
7. Migrated VCFs can't launch new schemes; tenure can be extended up to 2 years with ⅔ approval; migration window closed July 19, 2025
8. CDMDF: a close-ended trust with a 15-year tenure that buys listed, investment-grade corporate debt (residual maturity ≤ 5 years) from MF debt schemes during market dislocation
9. Cat III vs PMS: PMS minimum ₹50 lakh, no corpus requirement, no cap on investors, manager net worth ₹5 crore. Cat III AIF: ₹1 crore minimum, ₹20 crore corpus, max 1,000 investors, sponsor/manager continuing interest of 5% or ₹10 crore
10. Cat III vs MF: MF minimum can be ₹500, public issue, daily NAV, no leverage. Cat III: private placement, NAV daily/monthly/quarterly, leverage allowed
11. Material risks to report: concentration, foreign-exchange, leverage, realisation, strategy, reputation, and extra-financial (ESG) risks
12. 2,041 AIFs were registered as on October 8, 2026; commitments crossed ₹17.53 lakh crore by June 30, 2026

Cat I/II single investee cap	Cat III single investee cap	Angel fund per investee	CDMDF tenure
25% of investable funds	**10% of investable funds**	**₹10 lakh – ₹25 crore**	**15 years from first close**

Registered AIFs (Oct 8, 2026)
2,041

🎯 EXAM TIP
Classification questions are favourites: which category does a fund belong to (SSF and CDMDF are Cat I; PE and debt funds are Cat II; hedge funds are Cat III).

⚠️ TRAP
Special Situation Funds and CDMDF sound like debt or credit funds, but both are Category I. Private Debt Funds are Category II.

Chapter 7 · Weight: 5 marks

Alternative Investment Fund Ecosystem

This chapter introduces the cast and vocabulary of the AIF world: investors, sponsor, trustee, manager, service providers (merchant banker, RTA, custodian, fund accountant, valuer), capital commitment, drawdown, first and final close, green shoe, fees, waterfall and clawback.

MAKE IT STICK
A wedding has the families paying (investors), the person who proposes the match and puts in money first (sponsor), the event planner (manager), the venue keeper who guards the gifts (custodian), the accountant tallying gifts (RTA or fund administrator), and the priest who certifies everything is in order (merchant banker).

1. Minimum commitment: ₹1 crore per investor; ₹25 lakh for employees or directors of the AIF or Manager; no minimum for angel investors in an Angel Fund
2. Minimum corpus per scheme: ₹20 crore; maximum 1,000 investors per scheme (Accredited Investors excluded); private placement only
3. Sponsor/Manager continuing interest: Cat I and II at least 2.5% of corpus or ₹5 crore (lower); Cat III at least 5% or ₹10 crore (lower); Angel Fund at least 0.5% of each investment or ₹50,000 (HIGHER)
4. The continuing interest must be fresh cash investment, not a waiver of management fees or a transfer of stocks, and stays locked until all investors are paid
5. Sponsor or Manager must appoint a SEBI-registered custodian, before the date of the scheme's first investment; the custodian must not be a related party unless conditions are met
6. PPM is filed with SEBI only through a SEBI-registered merchant banker who is NOT an associate of the AIF, sponsor, manager or trustee
7. Appointing an RTA is compulsory because RTAs collect stamp duty on the issue and transfer of AIF units
8. Records (assets, valuation policy, strategy, investor details, investment rationale) must be kept for 5 years after winding up
9. Drawdown or capital call: committed but undrawn money is 'dry powder' (e.g. ₹1,000 crore committed – ₹650 crore drawn = ₹350 crore)
10. The green shoe option must be provided for in the PPM and can be exercised before the final close

11 European waterfall: the whole fund returns capital and preferred return first, then carry. American waterfall: deal-by-deal carry, so it needs a clawback

12 Typical management fee is 1–2.5% p.a.; performance fee is usually up to 20% ('2-and-20'), with a range of 0–30%; exit load after lock-in is 0–5% of NAV

13 A term sheet or SOPT is NOT legally binding; it leads to definitive agreements

Min investor commitment **₹1 crore (₹25 lakh employees/directors)**	Min corpus per scheme **₹20 crore**	Max investors per scheme **1,000 (AIs excluded)**
Cat I/II continuing interest **2.5% or ₹5 crore, lower**	Cat III continuing interest **5% or ₹10 crore, lower**	Angel fund continuing interest **0.5% or ₹50,000, higher**
Record retention **5 years after winding up**		

🎯 EXAM TIP
Questions on 'whichever is lower vs higher' for sponsor commitment, and on which service provider does what (merchant banker files the PPM; RTA collects stamp duty; custodian keeps securities).

⚠️ TRAP
For Angel Funds, it is 0.5% or ₹50,000 whichever is HIGHER. For Cat I/II/III it is whichever is LOWER.



Chapter 8 · Weight: 10 marks

Alternative Investment Fund Structuring

This chapter explains why pooling matters, the three legal forms (trust, LLP, company), buyouts (MBO, LBO), and onshore, offshore, unified, master-feeder and parallel fund structures for domestic and foreign money.

MAKE IT STICK
Pooling is like a car-pool. One car (the trust) carries many passengers, fuel costs are shared, and the toll is paid once. For foreign passengers, a feeder bus picks them up abroad and drops them at the Indian car-pool (master-feeder). In a parallel structure the foreign bus drives alongside the Indian car to the same destinations.

1 Pooling considerations: separate legal identity, limited liability, tax neutrality, regulatory compliance, and simplicity (avoid GAAR scrutiny)

2 Trust (Indian Trusts Act 1882) is the most preferred structure. For AIFs, an 'irrevocably settled, determinate trust' is best for clear tax treatment

3 A trust cannot sue or be sued itself; its trustee does so on its behalf

4 LLP (LLP Act 2008): at least 2 designated partners; more compliance; investor details become public on the MCA site

5 Company is the least preferred: heavy compliance, and private placement capped at 200 investors under the Companies Act (vs 1,000 under AIF Regulations)

6 Cat III can be open- or close-ended; Cat I and II must be close-ended

7 Buyout = acquiring control (usually 51% or more), often via club deals. MBO = incumbent management plus PE buys control. LBO = buyout funded with significant debt

8 Offshore fund: pooled abroad (Mauritius or Singapore), invests via FPI/FVCI/FDI; the risk is the Indian advisory office being treated as a PE or POEM

9 Unified structure: offshore fund invests INTO an onshore SEBI AIF under the automatic route, with no RBI or MoF approval needed

10 Master-feeder: offshore feeder funds invest into an Indian master fund; management fee is charged at master level (feeder pays a token, e.g. USD 1,000)

11 Parallel structure: offshore fund invests directly in investee companies alongside the domestic AIF; usually costlier but tax-efficient and lets the offshore fund opt out of deals

12 LRS allows Indian residents to remit up to USD 2,50,000 per person per financial year

13 FVCI registration gives benefits: exemption from post-IPO lock-in, Takeover Code exemption, QIB status

Most common domestic structure
Determinate, irrevocable trust

Company private placement cap
200 investors

LLP designated partners
Minimum 2

LRS limit
USD 2,50,000 per person per FY

🎯 EXAM TIP
Expect matching questions: structure name ↔ description (unified, master-feeder, parallel, pure offshore), and why trusts are preferred.

⚠️ TRAP
In a UNIFIED structure the offshore fund cannot invest directly in investee companies; it invests only into the onshore AIF. Direct investment alongside the AIF is the PARALLEL structure.



Chapter 9 · Weight: 20 marks

Fee Structure and Fund Performance

This is the numerical heart of the exam: management fees with GST, set-up costs, hurdle rate, high-water mark, catch-up, clawback, gross vs net IRR, the J-curve, multiples (PIC, DPI, RVPI, TVPI, MOIC), KS-PME, direct alpha, and risk measures (SD, skewness, kurtosis, MDD, Sharpe, Treynor, VaR).

MAKE IT STICK

The manager is a chef paid a fixed salary (management fee) plus a bonus (carry) only when the diners rate the meal above 8/10 (hurdle) AND above the best rating the chef has ever got before (high-water mark). If an early bonus later proves undeserved, the diners claw it back.

1. Management fee: Cat I and II charge on committed capital during the commitment period, then on invested capital or NAV; Cat III charges on gross NAV; 18% GST is added on top
2. Set-up costs are up to 1.5–2.5% of commitments, amortised over 36 months or the fund life from first close. Operating expenses are often capped at 10–50 bps. Transaction costs are charged at actuals. Trustee fee is about ₹1–5 lakh a year
3. Hurdle (preferred) return: typically 7–12% p.a. in India (INR) vs 5–8% internationally (USD). It is a benchmark, not a guarantee
4. Reference hurdle = capital × (1 + h)^n. Incentive = rate × [NAV pre-incentive – higher of (HWM, reference hurdle)]
5. HWM = highest NAV (net of expenses and fees) at any previous year-end, or the initial subscription price if NAV has only fallen
6. Catch-up: after capital plus hurdle, the manager gets the catch-up share until it reaches its agreed % of TOTAL profits (100% catch-up is most manager-friendly)
7. Clawback: investors recover carry taken on early exits to offset later losses; most needed with deal-by-deal (American) waterfalls
8. IRR (time-value based) vs ROI or holding-period return (no time value). Gross IRR ignores fees and expenses; net IRR includes them
9. J-curve: early years show negative cash flow and IRR (fees plus investing), which improve as exits happen
10. PIC = paid-in ÷ commitments; DPI = distributions ÷ paid-in; RVPI = residual NAV ÷ paid-in; TVPI = DPI + RVPI; MOIC = TVPI when all capital is called
11. KS-PME = (FV of distributions + NAV) ÷ FV of capital calls, compounded at index returns. Above 1 means the fund beat the market
12. Direct alpha = IRR of index-compounded cash flows (fund IRR – market IRR). Workbook example: fund IRR 35%, direct alpha 10%, so the market IRR is 25%
13. SD measures volatility (the workbook uses population SD, ÷ n). Normal distribution has skew 0 and kurtosis 3; positive skew is preferred; leptokurtic (above 3) means fat tails and more risk
14. MDD = (Trough – Peak) ÷ Peak. Sharpe = (Rp – Rf) ÷ σ. Treynor = (Rp – Rf) ÷ β. For undiversified portfolios, prefer Sharpe
15. VaR: the maximum expected loss over a period at a confidence level. It doesn't tell you the size of the loss beyond that level

GST on management/trustee fees	Typical mgmt fee	Indian hurdle range	Normal distribution	TVPI
18%	**1%–2.5% p.a.**	**7%–12% p.a.**	**Skew 0, Kurtosis 3**	**DPI + RVPI**

Cat III incentive cycle

Usually 3-year cycle or end of term

🎯 EXAM TIP

At least one caselet will ask for the minimum NAV for incentive (reference hurdle), the residual profit, and the catch-up split. Practise the workbook's Fund ABC and XYZ examples until they are automatic.

⚠️ TRAP

Incentive is charged on NAV ABOVE the higher of HWM and hurdle, not on total profit. And catch-up is measured against the manager's share of TOTAL profit, not just residual profit.



Chapter 10 · Weight: 5 marks

Indices and Benchmarking

This chapter covers how indices are built (price-, value-, equal- and fundamental-weighted), stock, bond and composite indices, properties of a good benchmark, and SEBI's performance-benchmarking framework for AIFs.

MAKE IT STICK

A benchmark is your batting average compared with players who bat in the same position. A Category I VC fund compared with the Nifty 50 is like comparing a wicketkeeper with an opening bowler, which is why vintage-year AIF benchmarks and PME exist.

1. Uses of indices: gauge the market, benchmark active managers, base for index funds, proxy for the market portfolio (beta)
2. Price-weighted (e.g. Dow Jones): a stock split changes the divisor, not the index
3. Value (market-cap) weighted is the most popular (Sensex, Nifty 50, S&P 500). Criticism: large companies have disproportionate influence
4. Bond indices are hard to build: a broader universe, constantly changing issues, and difficult pricing
5. A valid benchmark is specified in advance, relevant, measurable, unambiguous, representative, accountable, investable and complete (CFA/GIPS)
6. Benchmarking agencies are notified by an AIF association representing at least 33% of AIFs; currently CRISIL, NSE and Preqin (appointed via IVCA)
7. AIFs that have completed at least 1 year from first close must report data. Benchmarking is half-yearly (Sept 30 and Mar 31); March data is audited, September data may be unaudited
8. Benchmarking uses pre-tax NAV; AUM for this purpose = total capital drawn down; results reported in INR and USD
9. Cat I and II benchmarks are by vintage year (pooled IRR, DPI, RVPI, TVPI). Cat III uses asset-weighted indices (post-expense, pre-carry, pre-tax)
10. Valuation on audited investee data must reach benchmarking agencies within 7 months; Angel Funds report from FY 2025-26

11 Alpha (α) = actual return – CAPM expected return

Benchmarking frequency	Reporting starts after	Association threshold
Half-yearly (Sept 30 & Mar 31)	**1 year from First Close**	**≥ 33% of AIFs**

Audited-valuation reporting
Within 7 months

🎯 EXAM TIP
Stock-split effect on a price-weighted index, and the details of the SEBI benchmarking framework (frequency, pre-tax NAV, INR and USD), are favourites.

⚠️ TRAP
AUM for benchmarking is capital DRAWN DOWN, not committed capital or current NAV.

Chapter 11 · Weight: 20 marks

Investment Strategies, Investment Process and Governance of Funds

A large chapter covering start-up funding stages, Cat I and II strategies (angel, VC, PE, syndication, SDIs), Cat III strategies (long-only, long-short, market-neutral, global macro, convertible arbitrage, activist, merger arbitrage), deal sourcing, investor protection rights, governance (IC, advisory committee, board), grievance redress, co-investment and the code of conduct.

MAKE IT STICK
A start-up is like a cricketer moving from gully cricket (friends and family, pre-seed) to club level (angels, seed) to the Ranji Trophy (VC Series A/B) to the IPL auction (PE, later stage). At every level the new sponsor writes protective clauses: anti-dilution, liquidation preference, tag and drag.

1 Funding stages: pre-seed (friends and family) → seed (angels, product-market fit) → early stage (VC, Series A/B, venture debt, bridge rounds) → later stage (PE)

2 Indian start-ups: about 90% fail and 80% fail in the first 5 years, so angels hold at least 10 companies hoping 1–2 succeed. VCs track MRR/ARR, CAC, TAM-SAM-SOM

3 Only Accredited Investors can invest in syndicate deals. Example: carry of 15% on ₹50 crore profit = ₹7.5 crore to the lead

4 Anti-dilution: full ratchet converts at the lowest new price (best for the investor); weighted average CP2 = CP1 × (A + B) ÷ (A + C)

5 Liquidation preference: non-participating = higher of the preference multiple OR conversion; participating ('double dip') = preference PLUS a pro-rata share of the remainder

6 ROFR: match the best third-party quote. ROFO: the holder makes the first offer. Tag-along: sell alongside on the same terms. Drag-along: force others to sell to the buyer

7 Affirmative rights = positive control (consent needed); veto = negative control. Ideal ESOP pool for an Indian start-up is 5–10%

8 Investment Committee: members are responsible for decisions. Unnamed external members need consent of at least 75% of investors by value. Exemption applies for LVFs and funds where each investor commits at least ₹70 crore with a waiver

9 Grievances: resolve within 21 calendar days (SCORES). Investor can ask for a first review within 15 days of the ATR, then a second review (SEBI) within 15 days. ODR (conciliation, arbitration) is available at any time

10 Co-investment: via a Co-investment Portfolio Manager (PMS route) or a CIV scheme (only Cat I or II, only for Accredited Investors, one investee per CIV, no leverage, exit at the same time as the AIF, max 3× the investor's AIF contribution in that company)

11 Angel Funds cannot launch CIV schemes. A shelf placement memorandum is filed via a merchant banker

12 KMP code of conduct: fiduciary duty, record decisions in writing, give fair inputs to valuers, no inducements, keep investor and investee information confidential

13 Stewardship code applies to AIFs for their investments in LISTED equities. MFN clauses let an investor claim side-letter rights given to others

Grievance redressal **21 calendar days**	Review request window **15 calendar days**	IC external member consent **≥ 75% investors by value**
IC exemption threshold **₹70 crore per investor + waiver**	CIV cap per investor **3× AIF contribution in that investee**	Ideal ESOP pool **5%–10%**

🎯 EXAM TIP
Expect numericals on anti-dilution (full ratchet vs weighted average) and liquidation preference (participating vs non-participating), plus CIV conditions and grievance timelines.

⚠️ TRAP
Non-participating: the investor takes EITHER the preference OR the conversion value, not both. Participating gets both.



Chapter 12 · Weight: 10 marks

Fund Due Diligence – Investor Perspective

This chapter shows how an investor checks a fund before committing: strategy, team, fees, hurdle, manager evaluation and selection, alignment of interest, key-man clause, legal documents and conflict mitigation.

MAKE IT STICK

Choosing an AIF is like hiring a pilot for a 10-year flight. You check their logbook (track record), whether they have their own money on board (skin in the game), what happens if they fall ill mid-air (key-man clause), and whether they run a side airline (outside interests).

1. The PPM is the main information source; due diligence relies on cross-checking and is often subjective. Investors often follow a reputable anchor investor
2. Investment due diligence covers strategy (leverage, shorting, concentration, illiquidity), team, fee structure, hurdle or target return
3. LTCM (1998): about 30:1 leverage (USD 5 billion equity, USD 125 billion borrowed); the Russian default triggered its collapse, a lesson about leverage risk
4. Manager track record should be analysed over at least 5 years; disciplinary history checked for at least 5 years
5. Key evaluation criteria: experience, track record, strategy expertise, exit expertise, write-offs or litigations, conflicts or compliance history
6. Alignment of interest: sponsor commitment, fee and carry (incl. super-carry), waterfall, catch-up and clawback, outside interests, governance, related-party deals, co-investments
7. Key-man clause: stops NEW investments if key persons are unavailable; 'super key person' vs 'standard key person'
8. On a key-man event, investors often demand redemption without charges unless a replacement is found within an agreed time and SEBI is informed
9. Manager must disclose fees and equity received by employees from portfolio companies; a nominee-director policy addresses NDA conflicts
10. First-time managers often invest more than the mandatory continuing interest to reassure investors

Track record review	LTCM leverage	Key-man clause effect
Minimum 5 years	**≈30:1**	**Blocks new investments**

🎯 EXAM TIP

Scenario questions: what investors should check, what a key-man clause does, and which item reflects alignment of interest.

⚠️ TRAP

A key-man clause doesn't force immediate liquidation. It suspends new investments (and investors may negotiate exit rights).



Chapter 13 · Weight: 10 marks

Legal Documentation and Negotiations

This chapter covers the AIF's paperwork: trust deed or LLP agreement or MoA, the Investment Management Agreement, the Contribution Agreement, the PPM (contents, filing via merchant banker, GARUDA, annual PPM audit, material changes), wrapper and service agreements, including SEBI's distribution-fee rules.

MAKE IT STICK

The trust deed is the birth certificate, the IMA is the employment contract with the manager, the contribution agreement is each investor's personal membership form, and the PPM is the menu card that SEBI has read but not 'approved'.

1. Trust deed (settlor ↔ trustee) must be registered; a trust has no separate legal personality. The IMA (trustee ↔ manager) is signed once for the trust, not per scheme
2. The Contribution Agreement (investor + trustee + manager) is not shared with other investors and must not go beyond the PPM. Units are issued in demat form only
3. Regular schemes: PPM filed via a SEBI-registered merchant banker at least 10 working days before launch (GARUDA fast track). No scheme fee for the first scheme
4. First scheme can launch on the later of registration date or 10 working days after filing. AI-only Funds and LVFs launch new schemes immediately on filing; Angel Funds from the registration date
5. SEBI only gives observations on the PPM; it does not approve it (mandatory disclaimer)
6. AI-only Funds, LVFs and Angel Funds are exempt from filing via a merchant banker and file with an undertaking from the CEO and Compliance Officer
7. Changes in PPM terms are reported to SEBI on a consolidated basis within 1 month of the FY end
8. Annual PPM audit by internal or external auditor or legal professional. Findings go to the trustee, the manager's board and SEBI within 6 months of FY end. Risk factors, legal/tax, first-time manager track record, fee illustration and glossary sections are optional
9. PPM audit exemptions: Angel Funds (unless investments at cost exceed ₹100 crore, from FY 2025–26), schemes where each investor commits ₹70 crore and gives a waiver, LVFs; AIFs that have raised no money give a CA certificate
10. Investor complaints data: compiled quarterly within 7 days of quarter end, last 3 FYs. Investor Charter must be in the PPM
11. Distribution fee: investors coming via a fee-charging SEBI intermediary go through the Direct Plan. Cat III pays only equal trail from the management fee. Cat I and II may pay up to one-third upfront, the rest as trail
12. Wrapper = a supplement attached to the PPM for offshore distribution (unified structure)

PPM filing before launch	**≥ 10 working days (via MB)**
PPM audit report	**Within 6 months of FY end**
Consolidated PPM changes	**Within 1 month of FY end**
Cat I/II upfront distribution fee	**Up to ⅓ of total**
Angel fund PPM audit trigger	**Investments at cost > ₹100 crore**

🎯 EXAM TIP

Expect who signs which agreement, PPM filing and launch timelines under GARUDA, PPM audit timing and exemptions, and distribution-fee rules.

⚠️ TRAP

SEBI does NOT approve the PPM. Also, the first-ever scheme of an AIF pays no scheme fee, but subsequent schemes do.

Chapter 14 · Weight: 10 marks

Valuation

This chapter covers bond valuation, DCF, asset-based and relative (EV/EBITDA, P/B, P/E) valuation, start-up metrics and pre- or post-money valuation, IPEV guidelines, NAV for Category III AIFs, illiquidity adjustments, SEBI valuation regulations and the independent valuer framework.

MAKE IT STICK

Valuing a start-up is like valuing a mango sapling: there are no fruits yet (no profits), so you look at milestones, comparable orchards and the last price someone paid for a sapling. Valuing a listed share is like checking today's mandi price.

1. DCF has the strongest theoretical base but is very sensitive to the discount rate and cash-flow timing. Bond value = I × PVA(r, n) + F × PV(r, n)
2. Pre-money = post-money – new investment. Investor stake = investment ÷ post-money (₹1 crore for 10% gives ₹10 crore post-money and ₹9 crore pre-money)
3. Start-up metrics: MRR, ARR, CLTV, CAC, CLTV/CAC, churn rate (customers lost), burn rate (cash spent), DAU/MAU, NPS (% promoters – % detractors), viral coefficient
4. IPEV: fair value is the best measure. Methods: price of recent investment, milestones or scenarios for early stage, multiples (with an illiquidity discount), net assets, DCF, debt investments
5. Valuation per SEBI MF norms where available; otherwise per guidelines endorsed by an AIF association with at least 33% of AIFs (on AIPAC recommendations); the PPM must state the methodology
6. Cat I and II: valuation at least every 6 months by an independent registered valuer; can be extended to 1 year with approval of 75% of investors by value
7. Cat III: NAV calculation independent of fund management; disclosed quarterly (close-ended) or monthly (open-ended); unlisted and listed debt valued by an independent valuer
8. Independent valuer: not an associate; at least 3 years' experience valuing unlisted securities; IBBI-registered valuer plus ICAI/ICSI/ICMAI/CFA membership, or a CRA holding company or subsidiary
9. Deviation of more than 20% between two consecutive valuations, or more than 33% in a FY, at asset level: the manager must inform investors with reasons
10. Any change in valuation methodology or approach must be disclosed to investors, with valuations under both the old and new methods, and reported in the annual PPM changes

11 NAV per ISIN is uploaded to depositories through the RTA within 30 days of the valuation date (or by May 1, 2026 if later)

12 Illiquid security fair value: discount the stepped-down sale proceeds (e.g. ₹25 → ₹24.2428) to reflect volume and price-band limits

Cat I/II valuation frequency **At least every 6 months (1 yr with 75% consent)**	Cat III NAV disclosure **Quarterly close-ended / Monthly open-ended**
Valuer experience **≥ 3 years in unlisted securities**	Deviation trigger **>20% consecutive or >33% in a FY**
NAV upload to depositories **Within 30 days of valuation**	

🎯 EXAM TIP
Expect valuer eligibility, valuation frequency, the 20% or 33% deviation rule, pre or post money and CLTV/CAC.

⚠️ TRAP
Open-ended Cat III discloses NAV MONTHLY, close-ended QUARTERLY. Don't swap them (the workbook's own sample question tests exactly this).



Chapter 15 · Weight: 10 marks

Fund Monitoring, Reporting and Exit

This chapter covers monitoring, the stewardship code, Regulation 22 disclosures, record keeping, activity reports and CTR, exit for dissenting investors on material changes, commercial exits, secondaries, winding up, inoperative funds, in-specie distribution and the dissolution period.

MAKE IT STICK
Running an AIF is like captaining a long voyage. You send regular logs home (reports), give unhappy passengers a lifeboat if the destination changes (exit option on material change), and at the end you either sell the cargo, hand it over as is (in-specie), or ask for a short extra trip (dissolution period).

1 Stewardship code (6 principles): policy, conflicts, monitoring, intervention, voting, reporting; it applies to LISTED equity investments

2 Annual report to investors within 180 days of year end (Cat I and II); Cat III reports quarterly within 60 days of quarter end

3 Activity reports: comprehensive Annual within 30 days of end-March; Limited Quarterly within 15 days of quarter end (none for March quarter). Cat III also reports leverage quarterly

4 CTR: manager → sponsor or trustee within 30 days of FY end; their comments within 30 days; manager incorporates them within 15 days; violations go to SEBI

5 Change of sponsor or manager, or change in control, needs SEBI prior approval. Dissenting investors in close-ended schemes get an exit option (at least 1 month to dissent; buyout at not less than the average of 2 independent valuations; completed within 3 months; cost borne by the manager or sponsor)

6 The exit process is not needed if at least 75% of unit holders by value approve

7 Tenure extension: up to 2 years with ⅔ approval by value (LVFs can go beyond 2 years per their fund documents)

8 Winding up: tenure over, trustee's opinion, resolution of 75% of investors by value, or SEBI direction. Liquidation period = 1 year after tenure

9 Retention beyond fund life is allowed for litigation notices, with 75% consent for anticipated liabilities, or for documented wind-up expenses (max 3 years), parked in liquid assets

10 In-specie distribution needs 75% approval and bids for at least 25% of the value of unliquidated investments; if no bids, the value is ₹1; if no consent, in-specie distribution is mandatory at ₹1

11 Dissolution period: needs 75% consent; an Information Memorandum is filed via a merchant banker; it cannot exceed the original tenure; no new investments or commitments

12 No new liquidation schemes after April 25, 2024. Inoperative funds: no new schemes, no management fee, annual status report within 30 days of end-March

13 Secondaries usually trade at a substantial discount to NAV; India's secondary market is still nascent

Annual report (Cat I/II)	**Within 180 days of FY end**
Cat III investor report	**Quarterly, within 60 days**
Annual activity report to SEBI	**Within 30 days of end-March**
Quarterly activity report	**Within 15 days of quarter end**
Liquidation period	**1 year after tenure**
In-specie bids	**Min 25% of unliquidated value**
Dissenting investor exit	**Within 3 months; ≥ avg of 2 valuations**

🎯 **EXAM TIP**

Timelines are gold here: 180 days, 60 days, 30 days, 15 days, 1 month, 3 months, 1 year, plus the 75% vs ⅔ approval thresholds.

⚠️ **TRAP**

⅔ (two-thirds) by value is for tenure extension and strategy change. 75% by value is for winding up, in-specie distribution, dissolution period and waiving the dissenting-exit process.

Chapter 16 · Weight: 20 marks

Taxation

Under the Income Tax Act, 2025: Cat I and II AIFs get pass-through for non-business income, while Cat III follows trust taxation (determinate vs indeterminate, MMR). The chapter also covers capital gains rates and holding periods, TDS by AIFs, reporting forms, surcharge, loss set-off, GAAR, MLI, STT, GST and stamp duty.

MAKE IT STICK

A Cat I or II AIF is a glass pipe: income flows straight through to investors, who pay tax as if they had invested directly. The only thing that gets stuck in the pipe (taxed at fund level) is business income. A Cat III AIF is a closed box: the trustee pays tax as a representative assessee.

1. Cat I and II: income other than business income is exempt at fund level and taxed in investors' hands as if they had invested directly. Business income is taxed at the fund (MMR, or company or firm rate)
2. Business losses stay at the fund (carried forward). Other losses pass through if the investor has held units for at least 12 months
3. From FY 2025–26, securities held by Cat I and II AIFs are capital assets, so gains are capital gains, not business income
4. Listed equity: long-term after 12 months; LTCG 12.5% above ₹1,25,000; STCG (STT-paid) 20%. Unlisted shares: long-term after 24 months; LTCG 12.5% without indexation
5. Unlisted debentures transferred on or after July 23, 2024 and market-linked debentures are always taxed as short-term. AIF units: long-term after 12 months (listed) or 24 months (unlisted), LTCG 12.5%
6. Conversion of preference shares or debentures into equity is not a transfer; cost and holding period carry over
7. TDS by Cat I and II AIF: 10% on resident investors' income (other than business income); 20% on dividends to non-residents, rates in force or DTAA for other NR income. Portfolio companies don't deduct TDS when paying the fund
8. Statement to unit holders in Form 78 by June 30; Form 79 to the tax authority by June 15 (CA-verified)
9. Cat III: no pass-through. Revocable trust: taxed on the contributor. Irrevocable determinate: trustee taxed as representative assessee at beneficiaries' rates, but if there is ANY business income the whole income may be taxed at MMR. Indeterminate: MMR
10. To claim treaty benefits, a non-resident needs a TRC plus Form 41. The ITA or the treaty applies, whichever is more beneficial (subject to GAAR and MLI)

11 Loss carry-forward: business and capital losses for 8 years; speculative losses for 4 years. LTCL can be set off only against LTCG. Capital losses can't be set off against other heads

12 GAAR effective April 1, 2017 (impermissible avoidance arrangements; ₹3 crore threshold). MLI in force from October 1, 2019

13 MAT 14% of book profit; AMT 18.5%; credit carried forward for 15 years. Gift-type deemed income applies if FMV exceeds consideration by more than ₹50,000

14 STT on delivery equity is 0.1% for both buyer and seller. GST is 18% on management and trustee fees. Stamp duty: issue of units 0.005%, transfer 0.015%, none on redemption

TDS on resident investors (Cat I/II)	TDS on NR dividend	LTCG listed equity	STCG listed equity (STT)
10%	20%	12.5% above ₹1.25 lakh	20%

Loss pass-through holding	Stamp duty	Business/capital loss carry-forward
≥ 12 months	Issue 0.005% / Transfer 0.015%	8 years

Form 78 / Form 79
By June 30 / June 15

🎯 EXAM TIP
Tax is 20 marks. Know which trust type gets which treatment, TDS rates, holding periods and rates, the loss pass-through condition, and stamp duty rates. Case-study 3 style (TDS on interest and dividend by a Cat II fund) is likely.

⚠️ TRAP
Pass-through status belongs ONLY to Cat I and II, and only for NON-business income. A Cat III AIF never gets statutory pass-through.



Chapter 17 · Weight: 20 marks

Regulatory Framework

This is the rulebook chapter: SEBI (AIF) Regulations (registration, certification, commitments, accredited investors, LVFs, AI-only funds, closes, tenure, investment conditions for each category, Angel Funds, SSFs, Cat III leverage, pro-rata and pari-passu rights, code of conduct, specific due diligence) plus FEMA, PMLA, PIT, PFUTP, ICDR, FPI and FATCA/CRS.

MAKE IT STICK
SEBI is the stadium authority. It decides who can enter (accredited investors, ₹1 crore ticket), how many seats there are (1,000), how hard players can swing (Cat III leverage 2× NAV), how long the match lasts (tenure plus 2 years), and when the floodlights go off (winding up).

1 Legal forms: company, trust (registered under the Registration Act 1908), LLP, body corporate. A category can't be changed without SEBI approval

2 In-principle approval: register the trust or LLP deed within 6 months. You may collect commitments, but can't call money until registration

3 Key investment team: at least 1 person with the NISM XIX-C (or XIX-D for Cat I/II, XIX-E for Cat III) certificate, plus at least 1 person with a professional qualification (can be the same person)

4 Accredited Investor (individual, HUF, family trust, proprietorship, partnership): income at least ₹2 crore, OR net worth at least ₹7.5 crore (₹3.75 crore financial), OR income ₹1 crore plus net worth ₹5 crore (₹2.5 crore financial). Primary residence excluded

5 Body corporate or non-family trust: net worth at least ₹50 crore. Accreditation is valid 2 years (3 years if eligible in each of the two preceding FYs)

6 LVF = every investor is an AI with at least ₹25 crore. AI-only Fund = every investor is an AI. Names must end with 'LVF' or 'AI-only Fund'

7 First close within 12 months of becoming eligible to launch; corpus at first close at least ₹20 crore. Cat I and II minimum tenure 3 years from first close

8 Cat III close-ended: extension up to 2 years (two 1-year steps) with ⅔ approval. AI-only Funds can extend up to 5 years with ⅔

9 Social Impact Fund: corpus at least ₹5 crore; individual investment minimum ₹1,000 if investing only in not-for-profits on a social stock exchange; grants of at least ₹10 lakh

10 Cat I and II leverage: only temporary, for up to 30 days, up to 4 times a year, up to 10% of investable funds, with a 30-day cooling off. Cat III leverage at most 2× NAV

11 Cat III breach of leverage limit: report to investors before 10 AM the next working day and square off by end of the next working day; the custodian reports to SEBI

12 VCF, SME, Social Impact and Infra funds: at least 75% of investable funds in their core assets. Cat II: primarily unlisted or listed debt rated 'A' or below

13 Associates: investing in or trading with them needs 75% investor approval by value (an investor with at least 50% of corpus is excluded from that vote). Liquid assets are allowed for uninvested money

14 Angel Funds: at least 5 AIs before first close (within 12 months); ₹10 lakh–₹25 crore per investee; lock-in 1 year (6 months if sold to a third party); at least 2 AIs per deal; target start-ups' group turnover at most ₹300 crore; no listing

15 SSF: corpus at least ₹100 crore; investor minimum ₹10 crore (₹5 crore for AIs, ₹25 lakh for employees); stressed loans lock-in 6 months

16 Overseas investment: overall limit USD 1,500 million for all AIFs; SEBI approval valid 6 months; at most 25% of investable funds; report use within 5 working days; sale proceeds reported within 3 working days

17 PMLA: record cash transactions above ₹10 lakh and cross-border wires above ₹5 lakh; upload KYC to CKYCR within 10 days; UBO threshold above 10% (10% or more for trusts)

18 Specific DD: QIB or QB benefits (one investor above 50% of corpus); RBI-regulated investors above 25% (evergreening); land-border investors at least 50% of corpus, report holdings of 10% or more to the custodian within 30 days

19 FEMA: downstream investment is indirect foreign investment only if the sponsor or manager is not Indian-owned and controlled. Form InVi within 30 days; FLA return by July 15; Form DI within 30 days

20 ICDR: AIF disclosure at 5% shareholding within 2 working days (SAST); pre-IPO shares locked in for 6 months (1 year if mostly capex); OFS shares must be held at least 1 year

21 Regulatory sandbox exemption is for up to 12 months

AI individual: income route **≥ ₹2 crore p.a.**	AI individual: net worth route **≥ ₹7.5 crore (₹3.75 crore financial)**	AI body corporate **Net worth ≥ ₹50 crore**
LVF ticket **≥ ₹25 crore per AI**	Cat III leverage cap **2× NAV**	Cat I/II temporary borrowing **≤30 days, ≤4 times/yr, ≤10%**
Overseas investment cap **25% of investable funds; USD 1,500 mn industry**	SSF corpus / ticket **₹100 crore / ₹10 crore (₹5 crore AI)**	
Angel fund lock-in **1 year (6 months if sold to third party)**		

🎯 **EXAM TIP**

Pure memory marks: AI thresholds, LVF ₹25 crore, leverage rules, Angel and SSF numbers, approval percentages, overseas limits and PMLA thresholds. Make a one-page table and revise it daily.

⚠️ **TRAP**

The LVF threshold is now ₹25 crore per investor (revised), while the ₹70 crore figure is for the IC-responsibility and PPM-audit waivers. Don't mix them up.

🧮 Formulas

Nominal required rate of return

```
NRR = (1 + real RF) × (1 + expected inflation) - 1
```

Real 2%, inflation 6% → 1.02 × 1.06 – 1 = 8.12%

Two-asset portfolio variance

```
σp² = w1²σ1² + w2²σ2² + 2·w1·w2·ρ12·σ1·σ2
```

50/50, σ 20% & 30%, ρ 0.2 → 0.01 + 0.0225 + 0.006 = 0.0385 → σp ≈ 19.62%

CAPM / portfolio beta

```
E(R) = Rf + βp × (Rm - Rf); βp = Σ wi·βi
```

15%×1.2 + 85%×1.5 = 1.455; 6% + 1.455×10% = 20.55%

Alpha

```
α = Actual return - CAPM expected return
```

Fund 18%, CAPM 15% → α = 3%

Management fee with GST

```
Fee = rate × base (commitment for Cat I/II, gross NAV for Cat III) × 1.18
```

1.5% × ₹50 crore = ₹75 lakh + 18% GST ₹13.5 lakh = ₹88.5 lakh

Reference hurdle

```
Hurdle NAV = Capital × (1 + h)^n
```

₹100 crore at 12% for 5 years = ₹176.234 crore

Incentive (performance) fee

```
Incentive = rate × [NAV pre-incentive - higher of (HWM, reference hurdle)]
```

NAV ₹56.4234 crore, hurdle ₹55 crore, HWM ₹50 crore → 15% × ₹1.4234 crore = ₹21.351 lakh

Catch-up split

```
Manager target = carry% × total profit; after capital + hurdle, manager takes catch-up% of residual until target is met
```

₹50 crore → ₹70 crore NAV, 10% hurdle 3 yrs (₹16.55 crore), 20% carry: no catch-up → manager 20% × ₹3.45 crore = ₹0.69 crore; 100% catch-up → manager ₹3.45 crore (target ₹4 crore not reached)

Mean & standard deviation (workbook: population)

```
Mean = ΣRi / n; σ = √[Σ(Ri - Mean)² / n]
```

Fund A 12.5, 11.25, 13.65, 17.3, 14.65 → mean 13.87%, σ 2.06%

Maximum drawdown

```
MDD = (Trough - Peak) / Peak
```

Peak ₹632.33 crore, trough ₹545.61 crore → –13.71%

IRR (single in/out)

```
IRR = (Ending value / Beginning value)^(1/n) - 1
```

₹50 crore → ₹115 crore in 5 years → ≈18.1% (workbook shows 18.13%)

Effective annual rate

```
r = (1 + k/m)^m - 1
```

12% compounded quarterly → (1.03)^4 – 1 = 12.55%

Bond value

```
V = I × PVA(r, n) + F × PV(r, n)
```

₹100 par, 12% coupon, 8 yrs, 14% required → 12 × 4.639 + 100 × 0.351 ≈ ₹90.72

Fund multiples

```
PIC = Paid-in / Commitment; DPI = Distributions / Paid-in; RVPI = Residual NAV / Paid-in; TVPI = DPI + RVPI
```

Commitment 1,000, paid-in 800 → PIC 0.80; with distributions 400 & NAV 1,100 on paid-in 1,000 → DPI 0.40, RVPI 1.10, TVPI 1.50

KS-PME

```
KS-PME = (FV of distributions + NAV) / FV of capital calls (compounded at index returns)
```

140 / 101.18 = 1.38 → fund beat the market

Direct alpha

```
Direct alpha = IRR of index-compounded cash flows ≈ Fund IRR - Market IRR
```

Fund IRR 35%, direct alpha 10% → market IRR 25%

Sharpe & Treynor

```
Sharpe = (Rp - Rf) / σp; Treynor = (Rp - Rf) / βp
```

Rp 13.25%, Rf 5.6%, σ 1.05%, β 1.01 → Sharpe 7.29, Treynor 7.57

Excess kurtosis

```
Excess kurtosis = Kurtosis - 3
```

Fund B kurtosis 5.034 → excess 2.034 (leptokurtic, riskier)

Cat III leverage

```
Leverage = Total exposure (long + short after permitted offsets) / NAV ≤ 2
```

NAV ₹50 crore → max exposure ₹100 crore

Weighted-average anti-dilution

```
CP2 = CP1 × (A + B) / (A + C); B = new money / CP1
```

CP1 ₹20, A 1,15,000, new money ₹1,50,000 → B 7,500, C 15,000 → CP2 = ₹18.85

Pre/post-money

```
Post-money = Pre-money + Investment; Stake = Investment / Post-money
```

₹1 crore for 10% → post ₹10 crore, pre ₹9 crore

Liquidation preference

```
Non-participating = max(multiple × investment, stake × exit value); Participating = multiple × investment + stake × (exit - preference)
```

USD 1 mn, 10%, 2×, exit USD 50 mn → non-participating USD 5 mn (converts); participating 2 + 4.8 = USD 6.8 mn

CLTV/CAC & NPS

```
CLTV/CAC = lifetime value / acquisition cost; NPS = % promoters (9-10) - % detractors (0-6)
```

CAC USD 50, CLTV USD 250 → 5×

🔢 Numbers to remember

₹1 crore (₹25 lakh employees/directors; AIs exempt)
Minimum investment per investor

₹20 crore (Social Impact ₹5 crore; SSF ₹100 crore)
Minimum corpus per scheme

1,000 (AIs excluded); company structure 200
Maximum investors per scheme

2.5% of corpus or ₹5 crore, lower
Continuing interest Cat I/II

5% of corpus or ₹10 crore, lower
Continuing interest Cat III

0.5% of investment or ₹50,000, higher
Continuing interest Angel Fund

Cat I/II 25% (LVF 50%); Cat III 10% (LVF 20%)
Single investee limit

≤ 2× NAV
Cat III leverage

≤ 30 days, ≤ 4 occasions/yr, ≤ 10% investable funds; 30-day cooling off
Cat I/II temporary borrowing

≥ 75% of investable funds
Core investment for VCF/SME/Social/Infra funds

3 years from first close
Minimum tenure Cat I/II

Up to 2 years with ⅔ by value (AI-only up to 5 years)
Tenure extension

Within 12 months of eligibility to launch
First close deadline

≥ 10 working days before launch via merchant banker
PPM filing (regular schemes)

Income ≥ ₹2 crore / NW ≥ ₹7.5 crore (₹3.75 crore fin.) / ₹1 crore income + ₹5 crore NW
Accredited individual

Net worth ≥ ₹50 crore
Accredited body corporate

2 years (3 years if eligible both preceding FYs)
Accreditation validity

Each AI invests ≥ ₹25 crore
Large Value Fund

₹70 crore per investor + waiver
IC / PPM-audit waiver threshold

₹10 lakh to ₹25 crore; ≥ 2 AIs per deal
Angel fund per investee

≥ 5 accredited investors
Angel fund before first close

1 year (6 months on third-party sale)
Angel fund lock-in

₹10 crore (₹5 crore AIs; ₹25 lakh employees)
SSF investor minimum

At least every 6 months (1 yr with 75% consent)
Valuation Cat I/II

>20% between consecutive / >33% in a FY
Valuation deviation disclosure

21 calendar days; review requests within 15 days
Grievance redressal

Cat I/II within 180 days; Cat III quarterly within 60 days
Annual report to investors

Annual within 30 days of end-March; quarterly within 15 days
Activity reports to SEBI

1 year after tenure
Liquidation period

Max 3 years after fund life
Retention for wind-up expenses

≤ 25% of investable funds; industry cap USD 1,500 mn; approval valid 6 months
Overseas investment

> ₹10 lakh cash; > ₹5 lakh cross-border wire
PMLA cash / wire thresholds

Within 10 days
KYC upload to CKYCR

10% resident; 20% NR dividend
TDS by Cat I/II AIF

Issue 0.005%; transfer 0.015%
Stamp duty on AIF units

5 years after winding up
Record retention

📖 Glossary

AIF	Privately pooled investment vehicle (trust, LLP, company or body corporate) registered under SEBI (AIF) Regulations, 2012
Sponsor	Entity that forms and registers the AIF; promoter in a company, designated partner in an LLP
Manager	Entity appointed to manage the AIF's investments; may be the same as the sponsor
Continuing interest	Mandatory cash investment by sponsor or manager ('skin in the game'), locked until investors are fully paid
Corpus	Total funds committed by investors by written contract as on a date
Investable funds	Corpus net of estimated administration and management expenditure over the fund's tenure
Drawdown / Capital call	Manager's notice calling part of the committed capital
Dry powder	Committed but not yet drawn-down capital
First close	First point at which commitments of at least the minimum corpus are accepted and the fund proceeds
Green shoe option	PPM provision allowing the fund to retain commitments above the target corpus
Hurdle rate	Preferred return investors must receive before the manager earns carry
High-water mark	Highest NAV at any previous year-end (or the subscription price) that must be exceeded for incentive
Catch-up	Clause giving the manager a high share of profits after the hurdle until it reaches its agreed share of total profits
Clawback	Investors' right to recover carry paid earlier to offset later losses
European waterfall	Whole-fund waterfall: all capital plus preferred return first, then carry
American waterfall	Deal-by-deal waterfall that lets the manager earn carry earlier
J-curve	Early negative returns and cash flows of a PE/VC fund that turn positive as exits occur
TVPI / MOIC	Total value (distributions + NAV) to paid-in capital; equals MOIC when all capital is called
KS-PME	Kaplan-Schoar Public Market Equivalent: market-adjusted TVPI using index compounding
PPM	Private Placement Memorandum: the AIF's offer document filed with SEBI (via merchant banker for regular schemes)
GARUDA	Green Channel: AIF Rollout Upon Document Acknowledgement, SEBI's fast-track scheme launch mechanism

Accredited Investor	Investor certified by an accreditation agency on income or net-worth criteria; gets relaxed ticket size and concessions
LVF	Large Value Fund for Accredited Investors: each investor is an AI investing at least ₹25 crore
AI-only Fund	AIF or scheme in which every investor (other than manager, sponsor, employees) is an Accredited Investor
CIV scheme	Co-investment scheme of a Cat I or II AIF for its accredited investors, one investee per scheme
Special Situation Fund	Cat I AIF investing in stressed loans, ARC security receipts and distressed companies; can be a resolution applicant under IBC
Key-man clause	Clause stopping new investments if specified key persons become unavailable
Drag-along / Tag-along	Right to force co-shareholders to sell with you / right to sell alongside a seller on the same terms
Full ratchet	Anti-dilution method re-pricing the conversion at the lowest new issue price
Representative assessee	Trustee taxed on behalf of beneficiaries of a determinate trust
In-specie distribution	Distributing unsold investments themselves (not cash) to investors
Dissolution period	Post-liquidation period (with 75% consent) to sell remaining investments; cannot exceed the original tenure
Inoperative Fund	AIF scheme status for funds retaining money beyond fund life or awaiting litigation; no new schemes or management fee
CTR	Compliance Test Report prepared annually by the manager for the sponsor or trustee

⚡ Quick revision: the night before

1. AIF = privately pooled; MFs, CIS, family trusts, ESOP trusts and securitisation SPVs are NOT AIFs.
2. Cat I: VC (incl. Angel), SME, Social Impact, Infra, SSF, CDMDF. Cat II: PE, debt. Cat III: hedge or complex trading with leverage.
3. Cat I and II must be close-ended; Cat III can be open- or close-ended.
4. Minimum ₹1 crore per investor (₹25 lakh for employees or directors; AIs exempt); corpus ₹20 crore; at most 1,000 investors.
5. Skin in the game: Cat I/II 2.5% or ₹5 crore (lower); Cat III 5% or ₹10 crore (lower); Angel 0.5% or ₹50,000 (higher).
6. Single-investee cap: 25% Cat I/II (LVF 50%), 10% Cat III (LVF 20%).
7. Cat I/II borrowing: 30 days, 4 times a year, 10% of investable funds; Cat III leverage at most 2× NAV.
8. AI individual: ₹2 crore income, OR ₹7.5 crore NW (₹3.75 crore financial), OR ₹1 crore + ₹5 crore (₹2.5 crore financial); corporate ₹50 crore NW.
9. LVF = each AI at least ₹25 crore; IC and PPM-audit waiver = ₹70 crore per investor + waiver.
10. PPM via SEBI-registered merchant banker (not an associate), at least 10 working days before launch; SEBI doesn't approve the PPM.
11. First close within 12 months; Cat I/II minimum tenure 3 years; extension up to 2 years with ⅔ by value.
12. 75% by value: winding up, in-specie, dissolution period, investing with associates, waiving dissenting exit, external IC members.
13. Cat I/II valuation every 6 months by an independent valuer (1 year with 75% consent); Cat III NAV quarterly (close-ended) or monthly (open-ended).
14. Valuation deviation above 20% consecutively or above 33% in a FY must be explained to investors.
15. Annual investor report: 180 days (Cat I/II); Cat III quarterly within 60 days.
16. Activity reports to SEBI: annual within 30 days of end-March; limited quarterly within 15 days.
17. Grievances: 21 days; review window 15 days; SCORES, then the Designated Body, then SEBI; ODR available any time.
18. Liquidation period 1 year; in-specie needs bids for 25% of value, otherwise valued at ₹1.
19. Incentive = rate × (NAV – higher of HWM and hurdle).
20. TVPI = DPI + RVPI; PIC = paid-in ÷ commitment; MOIC = TVPI when fully called.
21. Normal distribution: skew 0, kurtosis 3; prefer positive skew; leptokurtic is riskier.
22. Sharpe uses σ (total risk), Treynor uses β; for undiversified portfolios use Sharpe.
23. Cat I/II: pass-through for non-business income; business income taxed at fund level; losses pass through only with a 12–month holding.
24. Cat III: trust taxation. Determinate means the trustee is a representative assessee; any business income can push all income to MMR.
25. TDS by Cat I/II: 10% resident; 20% NR dividend. Portfolio companies don't deduct TDS on payments to the fund.
26. LTCG listed equity 12.5% above ₹1.25 lakh; STCG 20%; unlisted equity long-term after 24 months.
27. Stamp duty on AIF units: 0.005% on issue, 0.015% on transfer, nil on redemption.
28. Overseas: 25% of investable funds, USD 1,500 mn industry cap, approval valid 6 months.
29. Angel Fund: ₹10 lakh–₹25 crore per deal, 5 AIs before first close, 2 AIs per deal, 1–year lock-in, no listing, no CIV.
30. SSF: ₹100 crore corpus, ₹10 crore ticket (₹5 crore AI), stressed loans 6–month lock-in.
31. CIV: AIs only, one company per CIV, no leverage, same exit timing, at most 3× the AIF contribution.
32. PMLA: cash above ₹10 lakh, cross-border wires above ₹5 lakh; CKYCR upload within 10 days; UBO above 10%.
33. Cat III distribution fee: trail only, paid from the management fee; Cat I/II up to ⅓ upfront.
34. Records kept 5 years after winding up; regulatory sandbox exemption up to 12 months.

🗓️ 21-day study plan (2 h/day)

Days 1–2: Foundations (Ch 1–5) – quick pass

- Skim Ch 1–5; make a one-page sheet on EMH forms, CAPM, CML/SML, portfolio variance
- Solve the CAPM two-stock beta example and the 8.12% nominal-rate example

Days 3–5: AIF basics, ecosystem & structuring (Ch 6–8)

- Build a Cat I/II/III comparison table (types, concentration, leverage, open/close-ended)
- Memorise sponsor-commitment rules (lower vs higher) and the service-provider roles
- Draw unified, master-feeder and parallel structures from memory

Days 6–9: Fees & performance (Ch 9) – the numerical core

- Redo Fund ABC (mgmt fee, hurdle, HWM, incentive) and XYZ (catch-up) examples in Excel
- Practise IRR/XIRR, DPI/RVPI/TVPI, KS-PME, MDD, Sharpe/Treynor, SKEW/KURT in Excel
- Take Mock 1

Days 10–11: Benchmarking & strategies (Ch 10–11 part 1)

- Learn the SEBI benchmarking framework numbers
- List Cat III strategies with one-line definitions; solve anti-dilution and liquidation-preference numericals
- Take Mock 2

Days 12–13: Governance, DD & documents (Ch 11 part 2, 12, 13)

- IC rules, grievance timelines, CIV conditions, code of conduct
- PPM filing/GARUDA, PPM audit, distribution-fee rules, key-man clause
- Take Mock 3

Days 14–15: Valuation & monitoring/exit (Ch 14–15)

- Valuer eligibility, valuation frequency, the 20%/33% rule, pre/post money
- Reporting timelines table; exit, winding up, in-specie, dissolution rules
- Take Mock 4

Days 16–17: Taxation (Ch 16)

- Pass-through vs trust taxation flowchart; TDS rates; holding periods & rates
- Rework Case-study 3 (TDS on interest/dividend) and Case-study 4 (transfer of units)
- Take Mock 5

Days 18–19: Regulatory framework (Ch 17)

- One-page table: AI criteria, LVF, Angel, SSF, leverage, overseas, PMLA, specific DD
- Take Mock 6 (tough) and review every wrong answer

Days 20–21: Full simulation & revision

- Take Mock 7 and one full timed simulator (120 Qs/180 min)
- Revise Numbers to Remember, Quick Revision and all chapter traps

Independent study notes prepared from the official NISM workbook. Verify against the latest workbook on nism.ac.in.